Takaichi administration: 17 strategic sectors

Reading Japan’s next growth drivers | Prioritizing crisis-management and growth investment through public-private cooperation

This is not a list of thematic stocks

The 17 sectors are priority policy areas in which the government combines investment promotion, R&D, procurement, regulatory reform and other measures to strengthen Japan’s supply capacity, economic security and international competitiveness.

What investors should examine

① Policy continuity: look for a long-term roadmap rather than one-year subsidies.
② Induced private investment: will capital expenditure and demand spread beyond government spending itself?
③ Link to earnings: does the theme lead to orders, profits and cash flow?
④ Valuation: even national policy offers no margin of safety if you overpay.

Conclusion

National policy is a tailwind. Base investment decisions on business value.

The government’s 17 strategic sectors

All 17 policy priorities at a glance

Sector	Sector
AI and semiconductors	Synthetic biology and biotech
Digital and cybersecurity	Drug discovery and advanced medicine
Information and communications	Resources, energy security and GX
Quantum	Fusion energy
Defense industry	Disaster prevention and national resilience
Aviation and space	Port logistics
Marine	Foodtech
Shipbuilding	Content
Materials (critical minerals, parts and materials)	

Common policy goals

- Strengthen supply capacity
- Economic security
- Deploy advanced technology in society
- Expand domestic investment

Large public-private investment areas

Amounts show priorities | Cabinet Office, June 2026; periods differ by item

Area	JPY trillion
Semiconductors (core of physical AI)	68.0
Cloud/data centers and storage batteries	32.7
Games	24.5
Drug discovery: novel, competitive products	23.4
Vertical AI	23.1
Biopharmaceuticals, regenerative medicine, etc.	20.8
Next-generation wireless (5G/Beyond 5G, etc.)	20.5
Biomanufacturing	12.8

Some items overlap across sectors for the same technology; take care when summing. These are projected public-private investment amounts, not corporate profits or government budgets themselves.

“Buy because it is national policy” is risky

An investor’s approach: policy theme → orders → profits/CF → stock price

1 Policy connection

Which products and technologies are covered by the roadmap?

2 Competitive advantage

Does the company have market share, technology, customers and barriers to entry?

3 Contribution to performance

Will operating profit and operating cash flow grow, as well as sales?

4 Financial resilience

Does it have the financial capacity to support large investments?

5 Margin of safety

Is it inexpensive relative to P/E, P/B, earning power and asset value?

Key points

- The 17 sectors map where policy funds may flow.
- Policy themes and shareholder returns are not synonymous.
- Ultimately select by earning power, cash flow and price: the margin of safety.